

Summit Hotel's \$650M Refi Shows Unsecured Debt Is Open for the Right Lodging Sponsors

The REIT extended maturities to 2031 and cut costs, signaling bank appetite for scale and balance sheet quality.

The most important number in Summit Hotel Properties' \$650 million credit facility refinancing is not the loan amount. It is the maturity: June 2031. That is five years from today. In a market where hotel owners are still fighting for two-year extensions on floating-rate debt, Summit just locked in a half-decade of liquidity at a cost of capital that most lodging sponsors can only envy. This is not a survival refinancing.

It is a strategic balance sheet upgrade. The REIT increased its total facility from an undisclosed prior size to \$650 million, split into a \$400 million revolver, a \$200 million term loan, and a \$50 million delayed draw term loan. The pricing grid ranges from 140 to 230 basis points over SOFR for the revolver and 135 to 225 basis points for the term loan.

Those spreads are tight for lodging, a sector that lenders still treat with caution after the pandemic's demand shock. The signal is not that hotel lending is easy. It is that unsecured credit is available to sponsors with scale, public market discipline, and a balance sheet that can absorb volatility. Summit is a \$1.7 billion market cap REIT with a portfolio of premium-branded select-service and extended-stay hotels.

That profile gives it access to the unsecured debt market, which remains the most efficient capital source for investment-grade lodging companies. Most hotel owners do not have that option. They borrow against individual assets at secured spreads that are 200 to 400 basis points wider. The refinancing also reveals something about bank appetite.

The syndicate behind this facility includes a group of relationship lenders willing to commit capital on an unsecured basis to a single borrower. That is not a broad reopening of hotel lending. It is a concentrated vote of confidence in Summit's management, asset quality, and cash flow visibility. Banks are not underwriting the sector. They are underwriting the sponsor. Who benefits?

Summit shareholders, who get a lower cost of capital, extended maturity runway, and the flexibility to pursue acquisitions or development without the friction of asset-level financing. The delayed draw term loan is particularly telling: it gives the company dry powder to act when the right deal appears, without having to negotiate new financing in a still-uncertain transaction market. Who is exposed? Every hotel owner without Summit's balance sheet.

The gap between unsecured and secured borrowing costs is a competitive moat that widens in a high-rate environment. Owners with maturing loans on individual hotels face a different reality: higher spreads, shorter terms, and lenders demanding more equity. The bifurcation in lodging capital markets is not just about asset quality. It is about sponsor quality and capital structure. The market should watch what Summit does with the delayed draw facility.

If the company deploys it into acquisitions, it will signal that the bid-ask spread in hotel transactions is finally narrowing. If the capital sits unused, it will suggest that Summit sees better risk-adjusted returns in its existing portfolio or that deal pricing has not yet reached a level the REIT can defend to its board. This refinancing is not proof that hotel debt markets are healthy.

It is proof that the healthiest borrowers can still command terms that look like a different market than the one most owners inhabit. The cost of capital is not a single number. It is a function of who you are, what you own, and how much time your balance sheet can buy.

About Us

Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

To discuss a financing need, recapitalization, or capital strategy:

ben@lighttowergroup.co

lighttowergroup.co